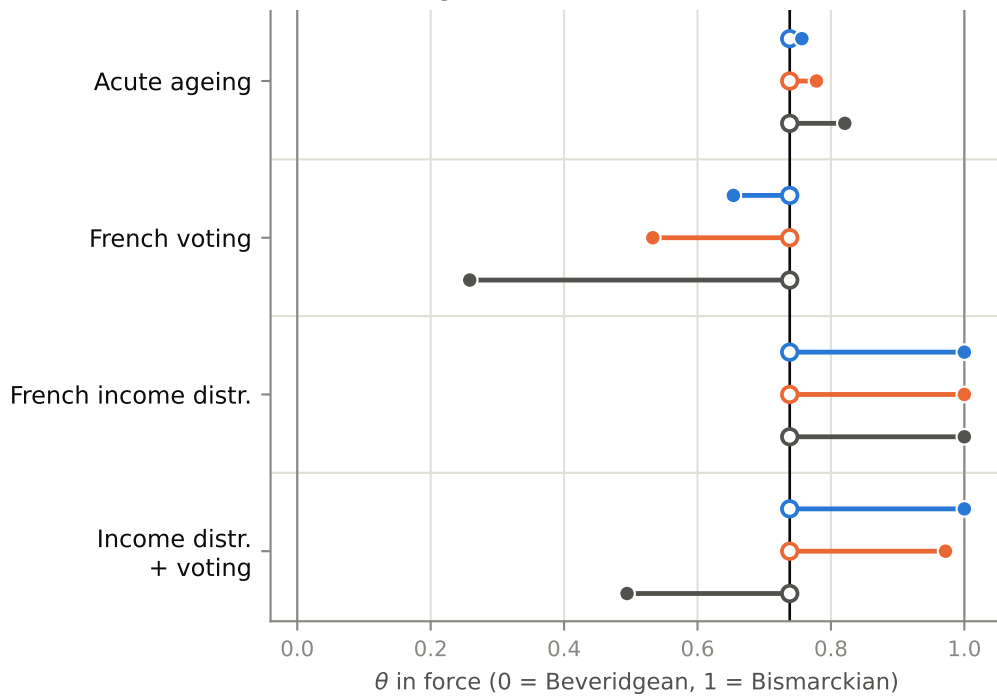
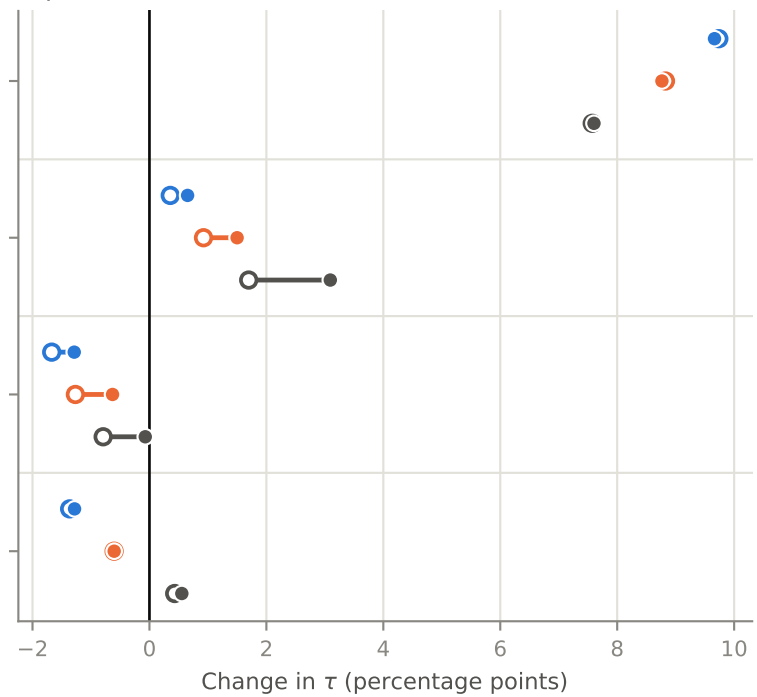


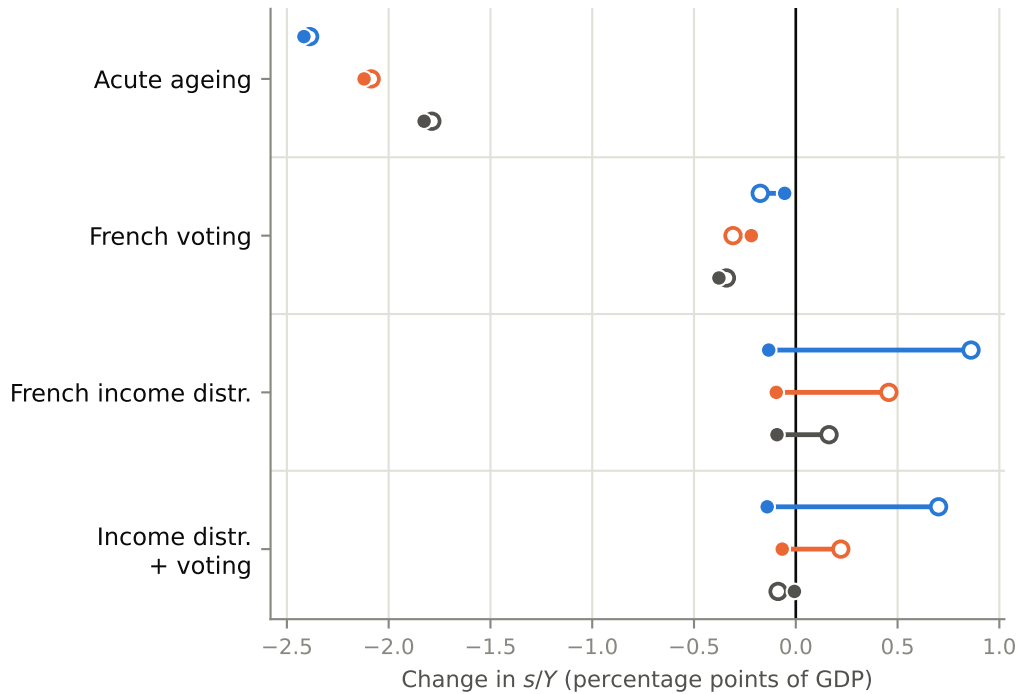
Pension design in 2020



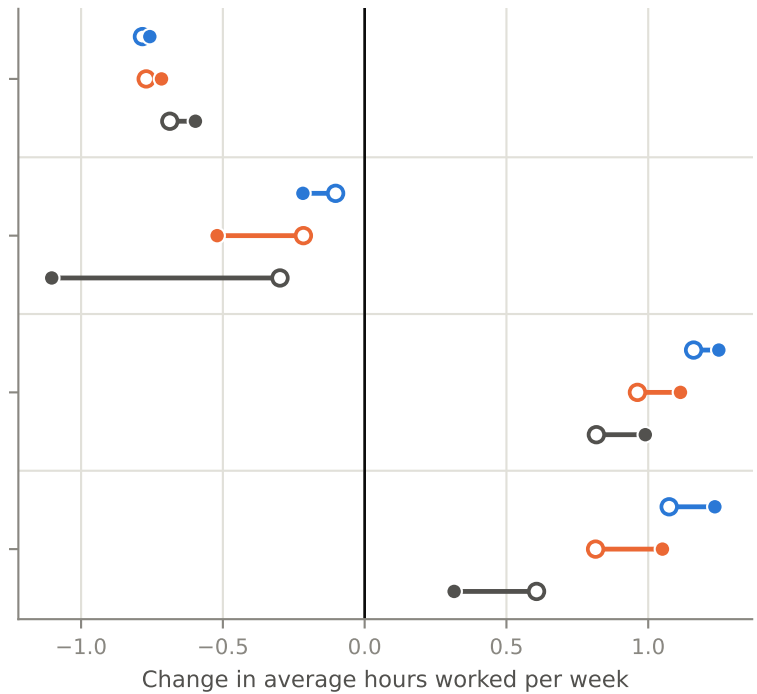
Equilibrium tax rate



Savings over GDP



Average workweek



—  $\rho = 0.5$ 
—  $\rho = 1.0$ 
—  $\rho = 2.0$ 
○  $\theta$  pinned at the US design
 ●  $\theta$  chosen by the electorate

Deviations from the endogenous- $\theta$  baseline, which at  $\rho = 1.0$  chooses  $\theta = 0.738$ , a tax rate of 14.4%, savings of 15.4% of GDP and a 39.4-hour week. Savings are relative to GDP,  $s/Y$ .